his micromanagement. I also got reports that public sector bank chiefs were unhappy with this meddling, but being ‘public servants’, refrained from speaking up. Needless to say, in the Reserve Bank, we were clearly unhappy with this activism.

In July 2012, at a public event in NABARD (National Bank for Agriculture and Rural Development) where I had gone to give its silver jubilee lecture, I was asked what I thought about all this micromanagement of public sector banks by the government. I had clearly indicated the Reserve Bank’s position. First of all, ownership or no ownership, this government creep into the regulatory domain was wrong. On issues outside the regulatory domain too, the government does not enjoy any privileged ownership position. It should pursue its policies by projecting them in the boards of the banks through its nominee directors. I added that the government should establish best practices for exemplary and responsible corporate behaviour.

Rendering Accountability

Accountability is the flip side of autonomy. An institution like the Reserve Bank that jealously guards its autonomy should also zealously render accountability for results.

Curiously, the Reserve Bank of India Act does not prescribe any formal mechanism for accountability of the central bank. Over the years, however, certain good practices have evolved. The bank explains the rationale of its policies, and where possible, indicates expected outcomes so that the public has a framework for evaluating its performance. The governor holds regular media conference after every quarterly policy review, which is an open house for questions related not just to monetary policy, but the entire domain of activities of the Reserve Bank. The Reserve Bank also services the finance minister in answering Parliament questions relating to its domain. Importantly, the governor appears before the Parliament’s standing committee on finance whenever summoned, which happens, on average, three to four times a year.